Lecture 1: Introduction to Money and Financial System

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Course: Monetary Economics

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Six Parts of the Financial System

1. Money - Asset accepted as payment. Means of payment, unit of account, store of value. M1 (currency, checking) vs. M2 (M1 + savings, deposits).

2. Financial instruments - Legal obligations to transfer value (stocks, bonds, derivatives). Standardized and communicate information.

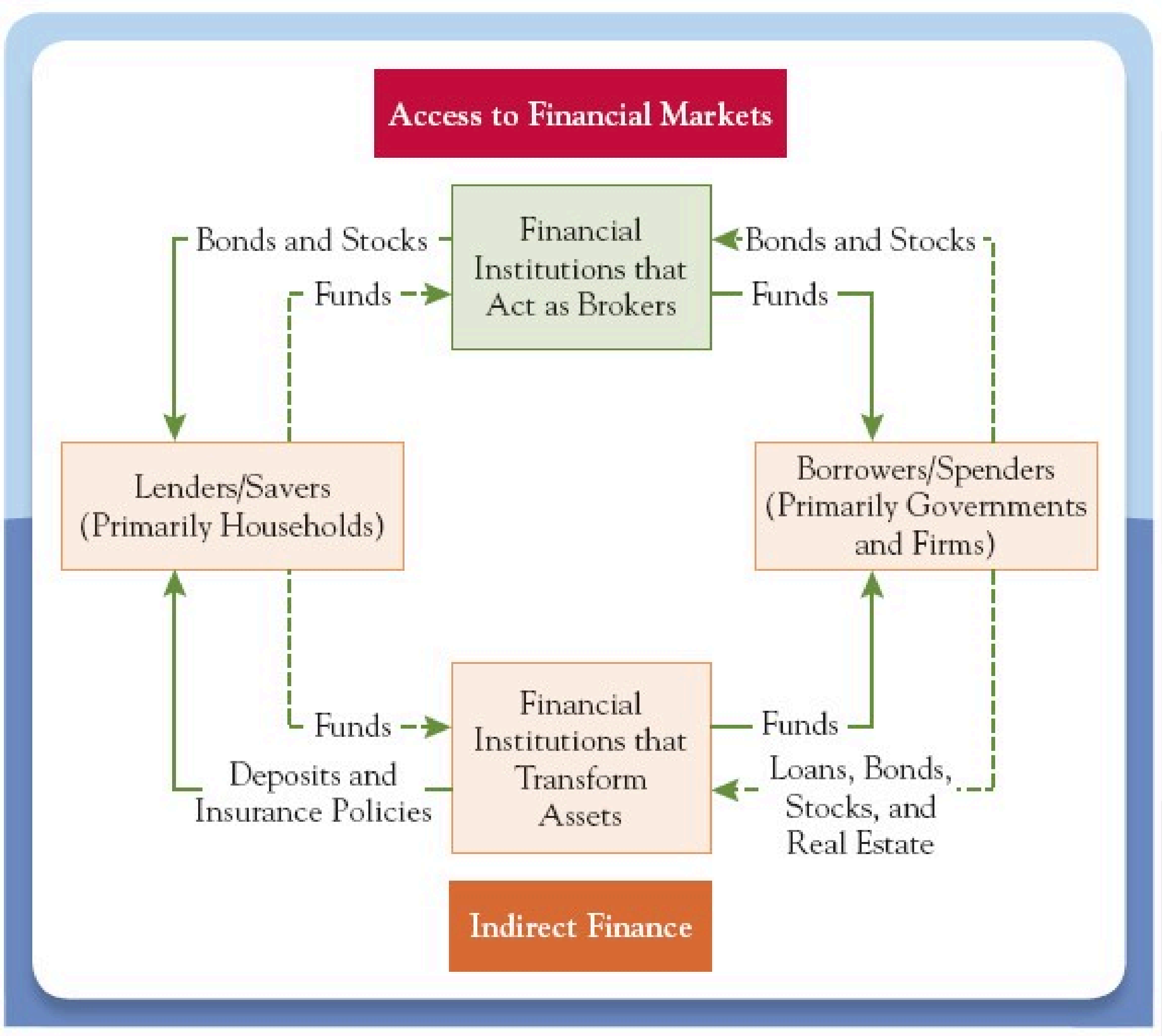
3. Financial markets - Buy/sell instruments. Provide liquidity, information, risk sharing. Primary (new) vs. Secondary (existing).

4. Financial institutions - Intermediaries (banks, insurance, securities firms). Bridge savers and borrowers, diversify risk.

5. Gov. regulatory agencies - Ensure safe operations (SEC, FDIC). Monitor, enforce regulations, protect consumers.

6. Central banks - Stabilize economy (Fed, ECB). Conduct monetary policy, regulate banks.

Flow of Funds Through Financial Institutions



Five Core Principles of Money and Banking

1. Time has value - Borrowed resources have opportunity cost. Money today worth more than tomorrow.

2. Risk requires compensation - Higher risk demands higher payment. Government near default pays high interest; safe Treasury bonds pay low interest.

3. Information basis for decisions - More important decisions need more information. Banks evaluate credit history, income, assets before lending.

4. Markets determine prices - Financial markets aggregate information to guide capital allocation. Higher stock prices → easier to raise capital.

5. Stability improves welfare - Stable economies grow faster. Central banks keep inflation and growth stable, minimize fluctuations.